

6.13

SWING BUYING: A WINNING OPTIONS TRADING STRATEGY



Strategy video

In this section, we will discuss a swing purchasing technique for trading options over a few days.



Buying an at-the-money (ATM) straddle with a week-to-week expiry is the tactic in question. The rationale for initiating the trade around 3:30 p.m. on a Thursday is to capitalise on any price fluctuations with the least amount of time decay.

We will examine the outcomes of this technique over a 4.5-year time frame and go into the exact process for creating stoploss orders and trailing stops.

